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Form 388

Corporations Act 2001
294, 295, 298-300, 307, 308, 319, 321, 322
Corporations Regulations
1.0.08

Copy of financial statements and reports

Company details

Company name

YHI (AUSTRALIA) PTY LTD

ACN

058 091 375

Lodgement details

Registered agent number

21211

Registered agent name

**COMPANY COMPLIANCE & ADVISORY
SERVICES AUSTRALIA**

Reason for lodgement of statement and reports

A small proprietary company that is controlled by a foreign company for all or part of the period and where the company's profit or loss for that period is not covered by statements lodged with ASIC by a registered foreign company, registered scheme or disclosing entity

**Dates on which financial
year ends**

Financial year end date

31-12-2024

Auditor's report

Were the financial statements audited?

Yes

Is the opinion/conclusion in the report modified? (The opinion/conclusion in the report is qualified, adverse or disclaimed)

No

Form 388 - Copy of financial statements and reports
YHI (AUSTRALIA) PTY LTD ACN 058 091 375

Does the report contain an Emphasis of Matter and/or Other Matter paragraph?

No

Details of current auditor or auditors

Current auditor

Date of appointment **07-09-2023**

Name of auditor

PRICEWATERHOUSECOOPERS

Address

**2 RIVERSIDE QUAY
SOUTHBANK VIC 3006**

Certification

I certify that the attached documents are a true copy of the original reports required to be lodged under section 319 of the Corporations Act 2001.

Yes

Signature

Select the capacity in which you are lodging the form

Agent

I certify that the information in this form is true and complete and that I am lodging these reports as, or on behalf of, the company.

Yes

Authentication

This form has been authenticated by

Name **COMPANY COMPLIANCE & ADVISORY SERVICES
AUSTRALIA**

This form has been submitted by

Name **Lisa GIGLI**
Date **01-04-2025**

For more help or information

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YHI (AUSTRALIA) PTY LIMITED

ABN 92 058 091 375

ANNUAL REPORT FOR THE YEAR ENDED

31 DECEMBER 2024

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375

DIRECTORS' REPORT

Your directors present their report on the company for the financial year ended 31 December 2024.

Directors

The names of the directors in office at any time during, or since the end of the year are:

Anthony Thomas Suhan
Tay Tian Hoe
Ong Chin Kiong

Directors have been in office since the start of the financial year to the date of this report unless otherwise stated.

Review of Operations

The loss of the company for the financial year after providing for income tax amounted to \$677,801 (2023: \$1,040,351.)

Significant Changes in the State of Affairs

No significant changes in the company's state of affairs occurred during the financial year.

Principal Activities

The principal activities of the company during the financial year were the import and wholesale of motor vehicle wheels and tyres.

No significant change in the nature of these activities occurred during the year.

Events Subsequent to the End of the Reporting Period

No matters or circumstances have arisen since the end of the financial year which significantly affected or may significantly affect the operations of the company, the results of those operations, or the state of affairs of the company in future financial years.

Likely Developments and Expected Results of Operations

Likely developments in the operations of the company and the expected results of those operations in future financial years have not been included in this report as the inclusion of such information is likely to result in unreasonable prejudice to the company.

Environmental Regulation

The company's operations are not regulated by any significant environmental regulation under a law of the Commonwealth or of a State or Territory.

Dividends

There were no dividends paid or declared during the financial year.

Options

No options over issued shares or interests in the company were granted during or since the end of the financial year.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375

DIRECTORS' REPORT (Continued)

Indemnification of Officers

During the financial year the company has paid premiums to insure each of the present and former directors against liabilities for costs and expenses incurred by them to a maximum of \$5,000,000 (2023: \$5,000,000) in defending any legal proceedings arising out of their conduct while acting in the capacity of director of the company, other than conduct involving wilful breach of duty in relation to the company. No indemnities have been given or insurance premiums paid, during or since the end of the financial year, in respect of the auditor of the company.

Proceedings on Behalf of the Company

No person has applied for leave of court to bring proceedings on behalf of the company or intervene in any proceedings to which the company is a party for the purpose of taking responsibility on behalf of the company for all or any part of those proceedings.

The company was not a party to any such proceedings during the year.

Auditors' Independence Declaration

A copy of the auditors' independence declaration as required under section 307C of the Corporations Act 2001 is set out on page 4.

Signed in accordance with a resolution of the Board of Directors:

Director: _____

Anthony Thomas Suhan

Dated this 21 February 2025



Auditor's Independence Declaration

As lead auditor for the audit of YHI (Australia) Pty Ltd for the year ended 31 December 2024, I declare that to the best of my knowledge and belief, there have been:

- (a) no contraventions of the auditor independence requirements of the *Corporations Act 2001* in relation to the audit; and
- (b) no contraventions of any applicable code of professional conduct in relation to the audit.

Akash Saraf

Akash Saraf
Partner
PricewaterhouseCoopers

Melbourne
21 February 2025

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
Annual report – 31 December 2024

	Page
CONTENTS	
Financial statements	
Statement of profit or loss and other comprehensive income	6
Statement of financial position	7
Statement of changes in equity	9
Statement of cash flows	10
Notes to financial statements	11
Directors' declaration	36
Independent auditor's report to the members	37

The financial statements are presented in Australian dollars which is the company's functional and presentation currency.

All amounts disclosed in the financial statements and notes have been rounded off to the nearest dollars unless otherwise stated.

YHI Australia Pty Ltd is a company limited by shares, incorporated and domiciled in Australia. Its registered office and principal place of business is:
YHI (Australia) Pty Limited
8 Penelope Crescent
ARNDELL PARK NSW 2148.

A description of the nature of the entity's operations and its principal activities is included in the directors' report on page 2, which is not part of these financial statements.

The financial statements were authorised for issue by the director on 21 February 2025. The director has the power to amend and reissue the financial statements.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2024

	Note	2024 \$	2023 \$
Revenue	3	38,403,987	35,363,211
Other income	4	383,018	314,453
Changes in inventories of finished goods and work in progress		43,273	2,064,453
Raw materials and consumables used		(26,232,209)	(26,019,221)
Selling and distribution expenses		(2,930,489)	(2,531,224)
Auditors' Remuneration	5	(48,470)	(47,812)
Bad and doubtful debt expenses		13,276	(59,493)
Depreciation and amortisation expenses		(2,031,652)	(2,073,113)
Employee benefits expenses		(5,160,436)	(5,188,431)
Finance costs	6	(316,945)	(532,632)
Other expenses		(2,801,154)	(2,330,542)
Loss before income tax		(677,801)	(1,040,351)
Income tax expense	7	-	-
Loss for the year		(677,801)	(1,040,351)
Total comprehensive loss for the year		(677,801)	(1,040,351)
Total comprehensive loss attributable to members of the entity		(677,801)	(1,040,351)

The above statement of profit or loss and other comprehensive income should be read in conjunction with the accompanying notes.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024

	Note	2024 \$	2023 \$
ASSETS			
CURRENT ASSETS			
Cash and Cash Equivalents	8	1,152,841	1,207,774
Trade and Other Receivables	9	4,485,488	4,454,861
Inventories	10	18,775,390	18,732,117
Other Current Assets	11	931,489	944,486
Lease receivables	21	515,585	473,043
TOTAL CURRENT ASSETS		25,860,793	25,812,281
NON-CURRENT ASSETS			
Property, Plant & Equipment	12	1,107,966	1,142,796
Intangible Assets	13	-	-
Tax Assets	14	-	-
Right-of-Use Assets	15	3,891,604	8,479,250
Lease receivables	21	686,760	1,204,383
TOTAL NON-CURRENT ASSETS		5,686,330	10,826,429
TOTAL ASSETS		31,547,123	36,638,710
CURRENT LIABILITIES			
Trade and other Payables	16	8,540,461	6,139,584
Borrowings	17	-	1,500,000
Provisions	18	1,158,587	1,241,791
Tax Liabilities	14	-	-
Lease Liabilities	19	2,370,324	2,131,093
TOTAL CURRENT LIABILITIES		12,069,372	11,012,468
NON-CURRENT LIABILITIES			
Provisions	18	31,207	53,891
Lease Liabilities	19	3,872,246	9,320,252
TOTAL NON-CURRENT LIABILITIES		3,903,453	9,374,143
TOTAL LIABILITIES		15,972,825	20,386,611
NET ASSETS		15,574,298	16,252,099

The above statement of financial position should be read in conjunction with the accompanying notes.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024

	Note	2024 \$	2023 \$
EQUITY			
Issued Capital	20	100,000	100,000
Retained Earnings		15,474,298	16,152,099
TOTAL EQUITY		15,574,298	16,252,099

The above statement of financial position should be read in conjunction with the accompanying notes.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2024

Note	Issued Capital \$	Retained Earnings \$	Total \$
Balance at 1 January 2023 restated	100,000	17,192,450	17,292,450
Loss for the year restated	-	(1,040,351)	(1,040,351)
Total comprehensive loss for the year	<u>-</u>	<u>(1,040,351)</u>	<u>(1,040,351)</u>
Balance at 31 December 2023	<u>100,000</u>	<u>16,152,099</u>	<u>16,252,099</u>
Balance at 1 January 2024	100,000	16,152,099	16,252,099
Loss for the year	<u>-</u>	<u>(677,801)</u>	<u>(677,801)</u>
Total comprehensive loss for the year	<u>-</u>	<u>(677,801)</u>	<u>(677,801)</u>
Balance at 31 December 2024	<u>100,000</u>	<u>15,474,298</u>	<u>15,574,298</u>

The above statement of changes in equity should be read in conjunction with the accompanying notes.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2024

	Note	2024 \$	2023 \$
CASH FLOW FROM OPERATING ACTIVITIES			
Receipts from customers (inclusive of goods and service tax)		42,589,251	39,440,849
Payments to suppliers and employees (inclusive of goods and service tax)		(38,705,169)	(41,119,730)
Interest received		81,895	94,065
Interest paid		(398,839)	(626,697)
Net cash (outflow)/inflow from operating activities		3,567,138	(2,211,513)
CASH FLOW FROM INVESTING ACTIVITIES			
Proceeds on sale of property, plant & equipment		20,800	77,348
Payment for property, plant and equipment		(306,257)	(705,272)
Principal elements of lease receipts		475,082	431,354
Net cash (outflow)/inflow from investing activities		189,625	(196,570)
CASH FLOW FROM FINANCING ACTIVITIES			
Principal elements of lease payments		(2,311,696)	(2,028,169)
Loan received/(repayment) from a related party		(1,500,000)	1,500,000
Net cash outflow from financing activities		(3,811,696)	(528,169)
Net (decrease)/ increase in cash and Cash equivalents		(54,933)	(2,936,252)
Cash and cash equivalents at the beginning of the year		1,207,774	4,144,026
Cash and cash equivalents at end of the year	7	1,152,841	1,207,774

The above statement of cash flows should be read in conjunction with the accompanying notes.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

The material accounting policies which have been consistently applied in the preparation of the financial statements of the Company are as follows:

1. Material accounting policies

1.1 Basis of preparation

The financial statements have been prepared in accordance with Australian Accounting Standards and Interpretations issued by the Australian Accounting Standards Board and the Corporations Act 2001.

(i) Compliance with Australian Accounting Standards - Simplified Disclosure Requirements

The financial statements of the company comply with Australian Accounting Standards – Simplified Disclosures as issued by the Australian Accounting Standards Board (AASB).

(ii) Historical cost convention

The financial statements have been prepared on a historical cost basis.

(iii) New and amended standards adopted by the company

The company has applied all standards and amendments applicable for the annual reporting period commencing 1 January 2024. None of the standards and amendments applied had any impact on the amounts recognised in prior periods and are not expected to affect the current or future periods.

(iv) Critical accounting estimates

The preparation of the financial statements requires the use of certain critical accounting estimates. It also requires management to exercise judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements, are disclosed in note 3.

YHI (AUSTRALIA) PTY LIMITED

ABN 92 058 091 375

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

1. Material accounting policies (continued)

1.2 Revenue recognition

(a) Sale of goods – automotive and industrial products and alloy wheels

Sales are recognised at the point when control of the products has transferred to its customer, being when the products are delivered to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract or the acceptance provisions have lapsed. For bill-and-hold arrangements, the customer does not exercise its right to take physical possession of the products. However, control of these products is transferred to the customer as long as this arrangement is requested by the customer; the customer has the ability to direct the use of the products upon request; and these products are uniquely identified and separated from the Company's other inventory items in the warehouse.

Goods may be sold with retrospective volume discounts. Revenue from these sales are considered variable considerations and are recognised based on the price specified in the contract, net of the estimated highly probable volume discounts. No element of financing is deemed present as the sales are made with credit term ranging from 30-90 days, which is consistent with market practice. The company's obligation to provide a refund for faulty products under the standard warranty terms.

A receivable (financial asset) is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before payment is due.

Contract liabilities are recognised for advance collections from customers. Revenue is recognised in relation to these contract liabilities when the performance obligation as mentioned above has been satisfied.

(b) Service income

Revenue from providing service income is recognised in the accounting period in which the services are rendered.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1.
Material accounting policies (continued)

1.3
Property, plant and equipment

(a)
Measurement

(i)
Property, plant and equipment

Property, plant and equipment are initially recognised at cost and subsequently carried at cost less accumulated depreciation and accumulated impairment losses.

(ii)
Components of costs

The cost of an item of property, plant and equipment initially recognised includes its purchase price and any cost that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Cost also includes borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset (refer to Note 1.5 on borrowing costs).

(b)
Depreciation

Freehold land and construction-in-progress are not depreciated. Depreciation on other items of property, plant and equipment is calculated using the straight-line method to allocate their depreciable amounts over their estimated useful lives as follows:

	<u>Useful Lives</u>
Leasehold properties (Buildings)	3 - 16 years or over the lease term whichever is shorter
Plant and equipment	2 to 10 years

The residual values, estimated useful lives and depreciation method of property, plant and equipment are reviewed, and adjusted as appropriate, at each balance sheet date. The effects of any revision are recognised in profit or loss when the changes arise.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1. Material accounting policies (continued)

(c) Subsequent expenditure

Subsequent expenditure relating to property, plant and equipment that has already been recognised is added to the carrying amount of the asset only when it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably. All other repair and maintenance expenses are recognised in profit or loss when incurred.

(d) Disposal

On disposal of an item of property, plant and equipment, the difference between the disposal proceeds and its carrying amount is recognised in profit or loss within "other income".

1.4 Intangible assets

(a) Acquired computer software

Acquired computer software is initially capitalised at cost which includes the purchase prices (net of any discounts and rebates) and other directly attributable costs of preparing the asset for its intended use. Direct expenditures including employee costs, which enhance or extend the performance of computer software beyond its specifications and which can be reliably measured, are added to the original cost of the software. Costs associated with maintaining the computer software are expensed off when incurred.

Computer software is subsequently carried at cost less accumulated amortisation and accumulated impairment losses. These costs are amortised to profit or loss using the straight-line method over their estimated useful lives of three to five years.

The amortisation period and amortisation method of computer software are reviewed at least at each balance sheet date. The effects of any revision are recognised in profit or loss when the changes arise.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1. Material accounting policies (continued)

1.5 Borrowing costs

Borrowing costs are recognised in profit or loss using the effective interest method except for those costs that are directly attributable to the construction or development of qualifying assets. This includes those costs on borrowings acquired specifically for the construction or development of qualifying assets, as well as those in relation to general borrowings used to finance the construction or development of qualifying assets.

1.6 Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting year.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1.7 Financial assets

Classification and measurement

The company classifies its financial assets in the following measurement category:

- **Amortised cost**

The classification depends on the company's business model for managing the financial assets as well as the contractual terms of the cash flows of the financial asset.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

The company reclassifies financial assets when and only when its business model for managing those assets changes.

- **At initial recognition**

At initial recognition, the company measure a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

- **At subsequent measurement**

Financial assets

Financial assets mainly comprise of cash and cash equivalents, trade and other receivables.

Financial assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. A gain or loss on a financial assets that is subsequently measured at amortised cost and is not part of a hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is included in interest income using the effective rate method.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1. Material accounting policies (continued)

1.7 Financial assets (continued)

Impairment

The company assesses on a forward looking basis the expected credit losses associated with its debt financial assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables, the company applies the simplified approach permitted by the AASB 9 *Financial Instruments*, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

1.8 Borrowings

Borrowings are initially recognised at fair value (net of transaction costs) and subsequently carried at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognised in profit or loss over the period of the borrowings using the effective interest method.

Borrowings are presented as current liabilities unless the company has an unconditional right to defer settlement for at least 12 months after the balance sheet date, in which case they are presented as non-current liabilities.

1.9 Trade and other payables

Trade and other payables represent liabilities for goods and services provided to the company prior to the end of financial year which are unpaid. They are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). Otherwise, they are presented as non-current liabilities.

Trade and other payables are initially recognised at fair value, and subsequently carried at amortised cost using the effective interest method.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1. Material accounting policies (continued)

1.10 Leases

(a) When the company is the lessee

At the inception of the contract, the company assesses if the contract contains a lease. A contract contains a lease if the contract convey the right to control the use of an identified asset for a period of time in exchange for consideration. Reassessment is only required when the terms and conditions of the contract are changed.

Right-of-use assets

The company recognised a right-of-use asset and lease liability at the date which the underlying asset is available for use. Right-of-use assets are measured at cost which comprises the initial measurement of lease liabilities adjusted for any lease payments made at or before the commencement date and lease incentive received. Any initial direct costs that would not have been incurred if the lease had not been obtained are added to the carrying amount of the right-of-use assets.

These right-of-use assets are subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

Lease Liabilities

The initial measurement of lease liability is measured at the present value of the lease payments discounted using the implicit rate in the lease, if the rate can be readily determined. If that rate cannot be readily determined, the company shall use its incremental borrowing rate.

Lease payments include the following:

- Fixed payment (including in-substance fixed payments), less any lease incentives receivables;
- Variable lease payment that are based on an index or rate, initially measured using the index or rate as at the commencement date;
- Amount expected to be payable under residual value guarantees;
- The exercise price of a purchase option if is reasonably certain to exercise the option; and
- Payment of penalties for terminating the lease, if the lease term reflects the company exercising that option.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1. Material accounting policies (continued)

1.10 Leases (continued)

Lease liabilities (continued)

For contracts that contain both lease and non-lease components, the company allocates the consideration to each lease component on the basis of the relative stand-alone price of the lease and non-lease component.

Lease liability is measured at amortised cost using the effective interest method. Lease liability shall be remeasured when:

- There is a change in future lease payments arising from changes in an index rate;
- There is a change in the company's assessment of whether it will exercise an extension option; or
- There is a modification in the scope or the consideration of the lease that was not part of the original term.

Lease liability is remeasured with a corresponding adjustment to the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Short term leases

The company has elected to not recognise right-of-use assets and lease liabilities for short-term leases that have lease terms of 12 months or less. Lease payments relating to these leases are expensed to profit or loss on a straight-line basis over the lease term.

Variable lease payments

Variable lease payments that are not based on an index or a rate are not included as part of the measurement and initial recognition of the lease liability. The company shall recognise those lease payments in profit or loss in the periods that triggered those lease payments.

Sub-leases

The company holds the head lease for some of the warehouses. The company then sub-lease the warehouse to the related parties under the same terms and conditions as the head lease and recharged on the back-to-back basis. The company recognises a lease liability together with an offsetting finance lease receivables. For subleases, where the lease payments are variable, the variable lease payments are recognised in profit or loss in the period in which the condition that triggers those payments occurs.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1. Material accounting policies (continued)

1.11 Inventories

Inventories are carried at the lower of cost and net realisable value. Cost is determined using the weighted average method. The cost of finished goods and work-in-progress comprises raw materials, direct labour, other direct costs and related production overheads (based on normal operating capacity) but excludes borrowing costs. Net realisable value is the estimated selling price in the ordinary course of business, less applicable variable selling expenses.

1.12 Income taxes

Current income tax for current and prior periods is recognised at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and considers whether it is probable that a tax authority will accept an uncertain tax treatment. The company measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Deferred income tax is recognised for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements except when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable profit or loss at the time of the transaction.

A deferred income tax liability is recognised on temporary differences arising on investments in subsidiaries and associated companies, except where the company is able to control the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

A deferred income tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised.

Deferred income tax is measured:

- (i) at the tax rates that are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date; and
- (ii) based on the tax consequence that will follow from the manner in which the company expects, at the balance sheet date, to recover or settle the carrying amounts of its assets and liabilities.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1. Material accounting policies (continued)

1.12 Income taxes (continued)

Current and deferred income taxes are recognised as income or expenses in profit or loss, except to the extent that the tax arises from a business combination or a transaction which is recognised directly in equity. Deferred tax arising from a business combination is adjusted against goodwill on acquisition.

1.13 Provisions

Provisions are recognised when the Company has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of each reporting period. The discount rate used to determine the present value is a pretax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as interest expense.

1.14 Employee compensation

(a) Short term obligations

Liabilities for wages and salaries, including non-monetary benefits and annual leave that are expected to be settled wholly within 12 months after the end of the period in which the employees render the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. Liabilities for non-accumulating sick leave are recognised when the leave is taken and measured at the rates paid or payable.

(b) Other long-term employee benefit obligations

The liabilities for long service leave are not expected to be settled wholly within 12 months after the end of the period in which the employees render the related service. They are therefore measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures and periods of service. Expected future payments are discounted using market yields at the end of the reporting period of corporate bonds with terms and currencies that match, as closely as possible, the estimated future cash outflows. Remeasurements as a result of experience adjustments and changes in actuarial assumptions are recognised in profit or loss.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1. Material accounting policies (continued)

1.14 Employee compensation (continued)

The obligations are presented as current liabilities in the statement of financial position if the entity does not have an unconditional right to defer settlement for at least twelve months after the reporting date, regardless of when the actual settlement is expected to occur.

(c) Post-employment obligations

The company pays contributions to publicly or privately administered defined contribution superannuation plans on a mandatory, contractual or voluntary basis. The company has no further payment obligations once the contributions have been paid. The contributions are recognised as employee benefit expense when they are due. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

1.15 Functional and presentation currency

The financial statements are presented in Australian dollars.

1.16 Cash and bank balances

For the purpose of presentation in the statement of cash flows, cash and bank balances include cash on hand, deposits with financial institutions which are subject to an insignificant risk of change in value, and bank overdrafts. Bank overdrafts are presented as current borrowings on the balance sheet.

1.17 Contributed equity

Ordinary shares are classified as equity.

Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds.

1.18 Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to, the taxation authority is included with other receivables or payables in the statement of financial position.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

1. Material accounting policies (continued)

1.18 Goods and Services Tax (GST) (continued)

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities which are recoverable from, or payable to the taxation authority, are presented as operating cash flows.

1.19 Rounding of amounts

The company is of a kind referred to in ASIC Legislative Instrument 2016/191, relating to the 'rounding off' of amounts in the financial statements. Amounts in the financial statements have been rounded off in accordance with the instrument to the nearest dollar.

2. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Company and that are believed to be reasonable under the circumstances.

The Company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are detailed below.

(a) Estimated impairment of right-of-use asset

The Company's impairment policy involves an annual assessment of internal and external indicators of impairment. Internal indicators include factors such as significant and persistent declines in revenue, increases in costs, unfavourable performance against budgets, etc. External indicators may include adverse economic conditions, significant increases in cost of capital, etc.

If indicators of impairment are identified, management prepares a formal cash flow projection for the company. The projection draws heavily upon cash flow forecasts which are regularly updated and reviewed by senior management and the Board of Directors.

Cash flows are discounted at the Company's pre-tax cost of capital and compared to the carrying value of fixed assets. Impairment losses are recognised firstly against right-of-use asset and any remaining balance is allocated on a pro-rata basis to other assets.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

	2024	2023
	\$	\$
3. REVENUE		
<i>Revenue recognised at a point in time</i>		
Sale of Goods	37,418,302	34,152,967
<i>Revenue recognised over time</i>		
Service income	985,685	1,210,244
Total Revenue	38,403,987	35,363,211
4. OTHER INCOME		
Gain on sale of non-current assets	20,800	74,908
Miscellaneous income	362,218	239,545
Total Other Income	383,018	314,453
5. EXPENSES		
	\$	\$
Profit before income tax includes the following specific expenses:		
Defined contribution superannuation expense	489,732	439,814
Auditor's Remuneration		
Auditing Services	43,470	42,812
Taxation Services	5,000	5,000
Other Services	-	-
Total Auditor's Remuneration	48,470	47,812

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

	2024	2023
	\$	\$
6. FINANCE COSTS		
Interest expense – Lease liabilities	391,898	626,697
Interest income – Lease receivables	(75,613)	(94,065)
Interest income	660	-
Total finance costs	<u>316,945</u>	<u>532,632</u>
	2024	2023
	\$	\$
7. INCOME TAX EXPENSE		
(a) Income tax expense		
Current Tax	-	-
Deferred Tax	-	-
	<u>-</u>	<u>-</u>
(b) Numerical reconciliation of income tax expense to prima facie tax payable		
Loss from continuing operations before income tax expense	(677,801)	(1,040,351)
Tax at the Australian tax rate of 30% (2023: 30%)	(203,340)	(312,105)
Tax effect of amount which are not deductible (taxable) in calculating taxable income:		
Permanent differences	46,916	(9,012)
Unrecognised deferred tax on temporary differences	62,196	116,643
Unrecognised tax losses	94,228	204,474
Prior Year Tax Losses Recouped	-	-
	<u>-</u>	<u>-</u>
Income tax expense attributable to company	<u>-</u>	<u>-</u>
	2024	2023
	\$	\$
8. CASH AND CASH EQUIVALENTS		
Cash at bank and in hand	1,152,841	1,207,774

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

	2024	2023
	\$	\$
9. TRADE AND OTHER RECEIVABLES		
Current		
Trade receivables	4,724,417	4,648,618
Provision for Impairment	(167,192)	(221,706)
Other items	(71,737)	27,949
	<u>4,485,488</u>	<u>4,454,861</u>
 Movement in the provision for impairment of Receivables is as follows:		
Trade Debtors		
Opening Balance	221,706	229,694
Charge for the year	30,000	59,493
Provision write back	(43,276)	59,493
Amounts written off as uncollectible	(41,238)	(67,481)
 Closing Balance	<u>167,192</u>	<u>221,706</u>
	2024	2023
	\$	\$
10. INVENTORIES		
At cost or net realisable value		
Finished Goods	17,777,692	16,440,145
Stock in Transit	1,047,698	2,341,972
Provision for Inventory Obsolescence	(50,000)	(50,000)
	<u>18,775,390</u>	<u>18,732,117</u>
	2024	2023
	\$	\$
11. OTHER CURRENT ASSETS		
Prepayments and Deposits	931,489	944,486
	<u>931,489</u>	<u>944,486</u>

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

12. PROPERTY PLANT AND EQUIPMENT

	Land	Buildings	Plant & Equipment	Leased Plant & Equipment	Total
	\$	\$	\$	\$	\$
At 31 December 2023					
Cost	-	95,668	5,246,308	-	5,341,976
Accumulated depreciation	-	(53,203)	(4,145,977)	-	(4,199,180)
Net book amount	-	42,465	1,100,331	-	1,142,796
Year ended 31 December 2024					
Opening net book amount	-	42,465	1,100,331	-	1,142,796
Additions	-	-	306,257	-	306,257
Depreciation expense	-	(2,387)	(338,700)	-	(341,087)
Carrying Amount at 31 December 2024	-	40,078	1,067,888	-	1,107,966
At 31 December 2024					
Cost	-	95,668	5,535,285	-	5,630,953
Accumulated depreciation	-	(55,590)	(4,467,397)	-	(4,522,987)
Net book amount	-	40,078	1,067,888	-	1,107,966

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

13. INTANGIBLE ASSETS

	2024	2023
	\$	\$
SAP Software Licences	558,419	558,419
Less Accumulated Amortisation	(558,419)	(558,419)
Net Carrying Amount	<u> </u>	<u> </u>
Total	<u> </u>	<u> </u>

14. TAX

	2024	2023
	\$	\$
Unused tax losses for which no deferred tax asset had been recognised	4,197,799	3,883,702
Potential tax benefits	<u>1,259,340</u>	<u>1,165,111</u>

The Company has unused tax losses for which deferred tax asset has not been recognised as it does not satisfy the recognition requirements of probable future tax profits.

15. RIGHT OF USE ASSETS**(a) Amounts recognised in the statement of financial position**

	2024	2023
	\$	\$
Right-of-use assets		
Buildings	3,891,604	8,479,250

During the year, the Company has remeasured the lease liability amounting to \$3,506,648 (2023: nil).

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

15. RIGHT OF USE ASSETS (CONTINUED)

(b) Amounts recognised in the statement of profit or loss and other comprehensive income

The statement of profit or loss and other comprehensive income shows the following amounts relating to leases:

	2024	2023
	\$	\$
Depreciation charge related to right-of-use assets	1,690,566	1,909,087
Interest expense on lease liabilities	391,898	626,697
Short-term land low value leases expense	2,208	2,624

16. TRADE AND OTHER PAYABLES

	2024	2023
	\$	\$
Related parties payables	1,163,651	1,307,044
Trade Payables	4,699,417	4,530,976
Accruals	2,634,228	249,554
GST Payable	43,165	52,010
	<u>8,540,461</u>	<u>6,139,584</u>

17. BORROWINGS

	2024	2023
	\$	\$
Current		
Loans – Secured		
Trade Finance Bills	-	-
	<u>-</u>	<u>-</u>
Current		
Loans – Unsecured		
Loan payable to related party	-	1,500,000
	<u>-</u>	<u>1,500,000</u>

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

17. BORROWINGS (CONTINUED)

The Company has a combined Standby Letter of Credit Facility in favour of HSBC amounting to \$4,950,000 (2023: \$2,950,000). This is secured by a Corporate Guarantee and Indemnity by YHI International Limited on account of YHI (Australia) Pty Limited. The facility has no expiry date but subject to annual review.

Refer to Note 24 (d) for the terms and condition of the loan payable to related party.

18. PROVISIONS

	2024	2023
	\$	\$
Provision for annual Leave	681,820	729,516
Provision for Long-Service Leave – Current	476,767	512,275
Provision for Long Service Leave – Non-Current	31,207	53,891
	<u>1,189,794</u>	<u>1,295,682</u>

19. LEASE LIABILITIES

	2024	2023
	\$	\$
Current	2,370,324	2,131,093
Non-Current	3,872,246	9,320,252
Total	<u>6,242,570</u>	<u>11,451,345</u>

Future lease payments in relation to the lease liabilities as at year end as follows:

	2024	2023
	\$	\$
Within one year	2,648,781	2,643,924
Later than one year but not later than five years	4,000,336	7,498,714
Later than five years	-	3,107,457
Total	<u>6,649,117</u>	<u>13,250,095</u>

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

20. ISSUED CAPITAL

	2024	2023
100,000 Fully Paid Ordinary Shares	100,000	100,000

Ordinary shares participate in dividends and the proceeds on winding up of the company in proportion to the number of shares held. At the shareholders' meetings, each ordinary share is entitled to one vote when a poll is called.

There are no externally imposed capital requirements.

21. LEASE RECEIVABLES

	2024	2023
	\$	\$
Current	515,585	473,043
Non-Current	686,760	1,204,383
Total	1,202,345	1,677,426
Commitments in relation to receivables are as follows:		
Within one year	565,007	544,904
Later than one year but not later than five years	714,592	1,279,599
Minimum lease receivables	1,279,599	1,824,503
Unearned interest income	(77,254)	(147,077)
Total lease receivables	1,202,345	1,677,426

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

22. CAPITAL COMMITMENTS

	2024	2023
	\$	\$
Capital Commitments		
Expenditure for Property, Plant & Equipment		
Contracted for but not provided for in the		
Financial Statements	-	-

23. CONTINGENT LIABILITIES

	2024	2023
	\$	\$
Contingent Liabilities		
Bank Guarantee		
The company has provided bank guarantees to the landlords		
of the Company premises under the terms and conditions of		
the lease. At the end of the reporting period there is no		
reason to expect that this bank guarantee will be called		
upon.	760,311	760,331

24. RELATED PARTY TRANSACTIONS

- (a) Parent entity
The immediate and ultimate parent entity is YHI International Limited and YHI Holdings Pte Limited.
- (b) Key management personnel
The total key management personnel compensation for the year is \$252,736 (2023: 262,333).
- (c) Transactions with other related parties

	2024	2023
	\$	\$
Lease receipts from an entity controlled by immediate	855,541	764,964
parent		
Purchase of goods from		
An entity controlled by immediate parent		
An entity controlled by immediate parent	173,817	150,509
Other related party	373,822	650,624

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

24. RELATED PARTY TRANSACTIONS (CONTINUED)

(c) Transactions with other related parties (continued)

	2024	2023
	\$	\$
Management fee from immediate parent entity	384,384	353,364
Information system services from an entity controlled by immediate parent entity	107,368	127,679
Disposal of non-current asset to a related party controlled by KMP	50,706	39,619

There transactions are carried out at agreed terms and conditions.

(d) Loan/payables to related parties

	2024	2023
	\$	\$
Related party payables	1,163,651	1,307,044
Loan payable to a related party	-	1,500,000
	<u>1,163,651</u>	<u>2,807,044</u>

The outstanding related party payables are unsecured, interest free and payable on demand. These balances are denominated in various currencies.

25. EVENTS OCCURRING AFTER THE REPORTING PERIOD

No matter or circumstances have occurred subsequent to year end that has significantly affected, or may significantly affect, the operations of the company, the results of those operations or the state of affairs of the company or economic entity in subsequent financial years.

YHI (AUSTRALIA) PTY LIMITED
ABN 92 058 091 375

DIRECTORS' DECLARATION

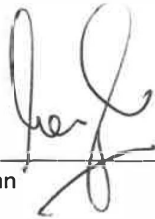
The directors of the company declare that:

- (a) The financial statements and notes, as set out on pages 1 to 33, for the year ended 31 December 2024 are in accordance with the Corporations Act 2001 and:
 - (i) comply with Accounting Standards, the Corporations Regulations 2001 and other mandatory professional reporting requirements, and
 - (ii) giving a true and giving a true and fair view of the Company's financial position as at 31 December 2024 and of its performance for the year ended on that date, and
- (b) there are reasonable grounds to believe that the company will be able to pay its debts as and when they become due and payable.

This declaration is made in accordance with a resolution of the Board of Directors.

Director: _____

Anthony Thomas Suhan



Dated this 21 February 2025



Independent auditor's report

To the members of YHI (Australia) Pty Ltd

Our opinion

In our opinion:

The accompanying financial report of YHI (Australia) Pty Ltd (the Company) is in accordance with the *Corporations Act 2001*, including:

- (a) giving a true and fair view of the Company's financial position as at 31 December 2024 and of its financial performance for the year then ended
- (b) complying with Australian Accounting Standards - Simplified Disclosures and the *Corporations Regulations 2001*.

What we have audited

The financial report comprises:

- the statement of financial position as at 31 December 2024
- the statement of changes in equity for the year then ended
- the statement of cash flows for the year then ended
- the statement of profit or loss and other comprehensive income for the year then ended
- the notes to the financial statements, including material accounting policy information and other explanatory information
- the directors' declaration.

Basis for opinion

We conducted our audit in accordance with Australian Auditing Standards. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial report* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the auditor independence requirements of the *Corporations Act 2001* and the ethical requirements of the Accounting Professional & Ethical Standards Board's APES 110 *Code of Ethics for Professional Accountants (including Independence Standards)* (the Code) that are relevant to our audit of the financial report in Australia. We have also fulfilled our other ethical responsibilities in accordance with the Code.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report for the year ended 31 December 2024, but does not include the financial report and our auditor's report thereon.



Our opinion on the financial report does not cover the other information and accordingly we do not express any form of assurance conclusion thereon through our opinion on the financial report.

In connection with our audit of the financial report, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial report or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the financial report

The directors of the Company are responsible for the preparation of the financial report in accordance with Australian Accounting Standards - Simplified Disclosures and the *Corporations Act 2001*, including giving a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of the financial report that is free from material misstatement, whether due to fraud or error.

In preparing the financial report, the directors are responsible for assessing the ability of the Company to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial report

Our objectives are to obtain reasonable assurance about whether the financial report as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Australian Auditing Standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial report.



A further description of our responsibilities for the audit of the financial report is located at the Auditing and Assurance Standards Board website at: http://www.auasb.gov.au/auditors_responsibilities/ar4.pdf. This description forms part of our auditor's report.

PricewaterhouseCoopers
PricewaterhouseCoopers

Akash Saraf
Akash Saraf
Partner

Melbourne
21 February 2025